Chapter 9. Final accounts of companies under Schedule III

From: Corporate Accounting: Principles and Practice, A. K. Srivastav and N. Mehrotra, 6th edition (fictional).

Demo document: fictional data prepared for a Walnut Learning Suite demonstration. Not an official syllabus or publication of the University of Lucknow.

9.1 Why the format matters

Schedule III to the Companies Act, 2013 prescribes the form of the balance sheet and the statement of profit and loss. A banker, an investor or an auditor reading two companies' accounts expects the same line items in the same places. Most marks lost in examinations come from items placed under the wrong heading rather than from arithmetic.

9.2 Current or non-current?

An asset is current when it is expected to be realised within twelve months or within the operating cycle. A liability is current when it is due within twelve months. Classify each item before you write a single figure.

- Trade receivables due in 90 days: current asset.
- Term loan instalments due after 12 months: non-current liability; the instalment due within 12 months is shown under current maturities.
- Security deposit paid for a godown lease of five years: non-current asset (other non-current assets).

9.3 Worked example: Awadh Handlooms Ltd (fictional)

Trial balance extracts as at 31 March 2026 (Rs in lakh): share capital 500; securities premium 60; general reserve 90; 10% debentures 200; trade payables 145; plant and machinery 610; inventories 180; trade receivables 132; cash and bank 48. Adjustments: provide depreciation at 10% on plant; managerial remuneration at 5% of net profit; a provision for tax of 42.

Step 1: classify. Step 2: compute the adjustments in working notes. Step 3: place each item under its Schedule III heading and cross-reference it to a note.

9.4 Practice

- Prepare the balance sheet of Awadh Handlooms Ltd in the Schedule III format with notes 1 to 6.
- Explain in 100 words why proposed dividend is disclosed in the notes and not provided for.